

Table 1: Descriptive statistics — linked medical-device warning-letter sample

	Value
Number of warning letters	120
Number of unique firms	81
Firm market capitalization (\$M), mean	6,649
Firm market capitalization (\$M), median	1,329
Firm total assets (\$M), mean	5,942
Firm total assets (\$M), median	439
Share of US medical-device market capitalization	60.3%
Sample period	October 2008 – January 2026

Notes: This table describes the analysis sample: FDA warning letters classified by the FDA as medical-device actions whose recipient is linked to a Compustat firm (gvkey) with an active record as of the letter date — a non-missing market capitalization at the last fiscal year-end before the letter (within 18 months). Links come from the project crosswalk, inclusive of matches flagged for manual review; ownership windows are respected, so a letter links to the firm that owned the recipient in the letter year. Letters are counted by unique FDA Case/Injunction ID. Market capitalization (fiscal year-end close price times common shares outstanding) and total assets are measured at the last fiscal year-end before the firm’s first letter, in \$ millions. The market-cap share is the sample firms’ current market capitalization as a fraction of the US medical-device universe: 26 sample firms of the 182 US-incorporated Compustat firms with primary SIC 3841–3845 and a market cap at their latest fiscal year-end; sample firms delisted or acquired since their letter no longer contribute. Sources: FDA Data Dashboard compliance actions; Compustat via WRDS.